

Similarly, the interest of Du Pont in General Motors, representing about 23% of the total issue, is undoubtedly significant enough in its effect on the owning company to warrant adjustment of its earnings to reflect the results of General Motors. This is actually done by Du Pont each year in the form of an adjustment of *surplus* to reflect the previous year's change in the book value of its General Motors holdings. The analyst would prefer, however, to make the adjustment concurrently and to include it in the calculated earnings of Du Pont. The effect of such adjustments on the earnings of Du Pont for 1929–1938 is shown in the previous table.

The report of General Motors Corporation for 1931 is worthy of appreciative attention because it includes a supplementary calculation of the kind suggested in this and the previous chapter *i.e.*, exclusive of special and nonrecurring profits or losses and inclusive of General Motors' interest in the results of nonconsolidated subsidiaries. The report contains the following statement of per-share earnings for 1931 and 1930:

**Earnings per Share, Including the Equity in Undivided Profits or
Losses of Nonconsolidated Subsidiaries**

Year	Including nonrecurrent items	Excluding nonrecurrent items
1931	\$2.01	\$2.43
1930	3.25	3.04

Suggested Procedure for Statistical Agencies. Although this procedure may seem to complicate a report, it is in fact a salutary antidote against the oversimplification of common-stock analysis which resulted from exclusive preoccupation with the single figure of per-share earnings. The statistical manuals and agencies have naturally come to feature the per-share earnings in their analyses of corporations. They might, however, perform a more useful service if they omitted a calculation of the per-share earnings in all cases where the company's reports appear to contain irregularities or complications in any of the following directions and where a satisfactory correction is not practicable:

1. By reason of nonrecurrent items included in income or because of charges to surplus that might properly belong in the income account.
2. Because current results of subsidiaries are not accurately reflected in the parent company's statements.